FINM3013 Introduction to Financial Derivatives

Chapter 02

Class exercises

Multiple Choice Questions

1. A company enters into a long futures contract to buy 1,000 units of a commodity for $60 per unit. The initial margin is $6,000 and the maintenance margin is $4,000. What futures price will allow $2,000 to be withdrawn from the margin account?
   A. $58
   B. $62
   C. $64
   D. $66

2. One futures contract is traded where both the long and short parties are closing out existing positions. What is the resultant change in the open interest?
   A. No change
   B. Decrease by one
   C. Decrease by two
   D. Increase by one

3. The frequency with which futures margin accounts are adjusted for gains and losses is
   A. Daily
   B. Weekly
   C. Monthly
   D. Quarterly

4. Margin accounts have the effect of
   A. Reducing the risk of one party regretting the deal and backing out
   B. Ensuring funds are available to pay traders when they make a profit
   C. Reducing systemic risk due to collapse of futures markets
   D. All of the above

5. A limit order
   A. Is an order to trade up to a certain number of futures contracts at a certain price

B. Is an order that can be executed at a specified price or one more favorable to the investor
C. Is an order that must be executed within a specified period of time
D. None of the above